Registration can be effected at any time. All the disabilities automatically disappear as soon as the firm is duly registered.

5.08 Dissolution of Partnership

Dissolution of Partnership is different from the dissolution of partnership firm. It is due to the fact that when the relation present between all partners, comes to an end, it is known as dissolution of firm. When any one of the partners become incapacitated, then the partnership comes to an end, but the firm may continue to operate, if new partnership is arranged among the other partners.

a) Dissolution of firm

Dissolution of firm means dissolution of partnership. On dissolution of firm, partnership business comes to an end. Its assets are realised and the creditors are paid off. The business cannot be continued after dissolution of partnership firm. For example A, B and C are partners in a business. If all the three partners decide to dissolve, it is known as "dissolution of the firm".

b) Dissolution of partnership

Dissolution of partnership means the termination of the original partnership agreement. A partnership is dissolved by insolvency, retirement, expiry or completion of the term of partnership. The business will continue after dissolution of partnership. For example: A, B and C are partners in a business. If 'A' retires, 'B' and 'C' can continue the business which is known as dissolution of partnership.



The various circumstances leading to dissolution of partnership firm can be summarised by taking the first letters used in the term "Dissolution".

D - Death of partner

I - Incapacity of a partner

S - Stipulated period of partnership completed in the case of particular partnership

S - Serious misconduct of a partner

O - Object is completed (Particular partnership)

L - Lunacy of a partner

U - Unavoidable continuous loss

T - Transfer of interest of the firm

I - Insolvency of a partner

O - Objectionable unlawful objectives

N - Notice of dissolution by a partner.

The fundamental difference between the dissolution of partnership and dissolution of the firm is that when the partnership is dissolved, there is no other dissolution, but when the firm is dissolved, partnership too comes to an end.

Dissolution of Partnership can take the following forms

i. Change in the existing profit sharing ratio
ii. Admission of a Partner
iii. Retirement or Death of a Partner
iv. Insolvency of a partner.
v. Expiry of the term of the partnership.
vi. Completion of the specified venture.
vii. Dissolution by agreement.

commerce 1-15.indd 41 2/17/2021 4:48:48 PM